

CH – 1 ACCOUNTING FUNDAMENTALS

(B) DOUBLE ENTRY BOOK – KEEPING SYSTEM

Home Assignment – 8 [Rules of debit & credit]

1. Ali is a dealer in electronic goods (refrigerator, washing machine, air conditioners, televisions, etc.). He purchased two air conditioners and installed in his showroom. In the books of Ali, the cost of these two air conditioners will be debited to:

(a) Drawing	(b) Capital
(c) Air conditioner	(d) Purchases
2. The double entry for payment of electricity bill in cash is:

(a) Electricity expense (debit) and cash (credit)	(b) Electricity expense (debit) and bank (credit)
(c) Utility Expense (debit) and bank (credit)	(d) Non of the above
3. The double entry for return of goods to Khan Limited on credit is:

(a) Cash (debit) and purchases return(credit)	(b) Khan Limited payable (debit) and purchases return (credit)
(c) Khan Limited payable (debit) and Purchases (credit)	(d) None of the above
4. Payment of insurance expense through the bank involves entries in which of the two accounts

(a) Insurance account (Debit) and cash account (Credit)	(b) Insurance account (Debit) and bank account (Credit)
(c) Bank (Debit) and Insurance (Credit)	(d) Non of the above
5. Ali received cash from Nauman in respect of goods sold three weeks ago
What entry is required to record the above transactions?

(a) Dr Cash; Cr Sales	(b) Dr Cash; Cr Nauman receivable
(c) Dr Sales; Cr Cash	(d) Dr Nauman Receivables; Cr Cash
6. Sales made to Ali on credit should be debited to?

(a) Ali receivable	(b) Cash
(c) Ali payable	(d) Purchases
7. Business gave donation of Rs 2,000 in cash to a hospital. This will be recorded as:

(a) Donation expense - Dr 2,000 , Cash - Cr 2,000	(b) Drawings - Dr 2,000 , Cash - Cr 2,000
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- (c) Capital - Dr 2,000 , Cash - Cr 2,000
 - (d) Cash - Dr 2,000 , Donation - Cr 2,000
8. Indus furniture company purchased 100 chairs (5 for business use and 95 for resale) on credit from Punjab traders. Cost per chair is Rs 300. What amount should be debited to purchases:
- (a) Rs. 30,000,
 - (b) Rs. 28,500,
 - (c) Rs. 1,500
 - (d) Non of the above
9. Payment for repair of moto vehicle of Rs. 5,000 through cheque will be recorded as:
- (a) Repair expense - Dr 5000, Cash account - Cr 5000
 - (b) Repair expense - Dr 5000, Bank account - Cr 5000
 - (c) Motor Vehicle - Dr 5000, Bank account - Cr 5000
 - (d) Motor Vehicle - Dr 5000, Cash account - Cr 5000
10. Sales return will be recorded as:
- (a) Trade receivable - Dr, Sales return – Cr
 - (b) Sales return - Dr, Trade receivable – Cr
 - (c) Purchase return - Dr, Trade payable – Cr
 - (d) Trade payable - Dr, Purchase return – Cr
11. A debit entry usually represents decrease in:
- (a) Assets and expenses
 - (b) Liabilities and income
 - (c) Liabilities and expenses
 - (d) Income and assets
12. Nasir obtained loan from his friend Yasir for his business, by cheque. What journal entry will be recorded in the books of Nasir?
- (a) Cash account Debit, Loan from Yasir account Credit
 - (b) Bank account Debit, Loan from Yasir account Credit
 - (c) Loan from Yasir account Debit, Bank account Credit
 - (d) Loan from Yasir account Debit, Yasir account credit
13. Owner's annual life insurance premium paid from business bank account will be:
- (a) Debited to insurance account and Credited to bank account
 - (b) Debited to bank account and Credited to drawings account
 - (c) Debited to bank account and Credited to insurance account
 - (d) Debited to drawings account and Credited to bank account

14. Debit represents all of the following, except:

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|-------------------------|---------------------------|
| (a) Increase in asset | (b) Decrease in liability |
| (c) Decrease in Capital | (d) Increase in capital |

15. Fast Software (FS) is a software house. FS imported 10 Laptops from Japan for their office use @ Rs. 50,000 per Laptop. Payment was made through cheque. How this will be recorded in the books of FS?

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|-----|-----------------------|------------------------|
| (a) | Purchases Account | Bank Account |
| (b) | Laptop Account | Bank Account |
| (c) | Purchases Account | Accounts Payable |
| (d) | Laptop Account | Accounts Payable |
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